January 2021 Paper 02

Question 1

1(a) Characteristics of a good leader

List FOUR essential characteristics of a good leader. (4 marks)

Four essential characteristics of a good leader are:

- Honesty and integrity, which means the leader is truthful and fair in all dealings with team members and superiors.
- Good communication skills, so the leader can clearly explain goals, give instructions and listen to feedback from the team.
- Confidence and decisiveness, which allows the leader to make firm decisions even under pressure and to stand by them.
- Vision and the ability to motivate, so the leader can set a clear direction and inspire the team to work towards it.

1(b) Techniques for effective communication in the classroom

Outline TWO techniques for effective communication in the classroom. (4 marks)

Use of clear and simple language

The teacher should speak in clear, simple language that matches the age and ability of the students, avoiding long words and complicated sentences. Important points should be repeated, written on the board and supported by examples so that every student in the class can follow the lesson and understand what is being taught.

Active listening and use of feedback

The teacher should encourage students to ask questions and answer them carefully, and should also pay attention to facial expressions and body language to check that students understand. By using short questions, quizzes and class discussions, the teacher can get feedback on whether the message has been received and adjust the explanation where necessary.

1(c) Sunnyside High School coaches

The coaches of the football and cricket teams of Sunnyside High School were very concerned about the high levels of indiscipline and poor performance displayed by members of their respective teams. In seeking to address the problem, the coach of the football team drafted a new set of rules and informed team members that anyone who failed to comply with the rules would be dismissed from the team. The coach of the cricket team sought to address the problem by calling a meeting with the players and their parents, inviting them to suggest solutions to the problem.

(c)(i) Identify the style of leadership displayed by EACH coach. (2 marks)

Football coach

The football coach displayed an autocratic style of leadership, because he made the decisions on his own, drafted the rules without consulting the team and used the threat of dismissal to force the players to obey.

Cricket coach

The cricket coach displayed a democratic style of leadership, because he called a meeting with the players and their parents and invited them to share their ideas and suggest solutions before any decision was taken.

(c)(ii) State ONE advantage and ONE disadvantage of EACH style of leadership identified in (c)(i). (4 marks)

Autocratic style - advantage

Decisions can be taken quickly because the leader does not have to wait for input from anyone else, which is useful when the team needs firm direction and when there is little time to discuss matters.

Autocratic style - disadvantage

Team members may feel that their views are not valued, which can lower their motivation and make them obey the rules only out of fear rather than out of genuine commitment to the team.

Democratic style - advantage

Players feel involved and respected because their ideas are listened to, and this raises their morale and their willingness to follow the rules they helped to set.

Democratic style - disadvantage

Reaching a decision can take a long time because everyone has to be consulted, and where there are strong disagreements the team may end up without a clear plan of action.

(c)(iii) Outline THREE strategies that could be used by the coaches to motivate team members. (6 marks)

Recognition and praise for good performance

The coaches can publicly praise players who train hard, follow the rules and perform well in matches, and they can give simple awards such as player of the match or most improved player. Public recognition makes the players feel valued and encourages the rest of the team to put in the same effort.

Setting clear goals and offering rewards

The coaches can set clear team and individual goals such as winning the next league match or improving fitness scores, and offer rewards such as team outings, certificates or sports gear when the goals are reached. Having something definite to aim at and a reward at the end pushes players to train harder and to work together.

Involvement and personal development

The coaches can involve players in deciding training plans, team tactics and team rules, and arrange coaching clinics to improve their skills. When players see that they have a say in how the team is run and that they are growing as athletes, they take more pride in the team and are more committed to its success.

Question 2

2(a) Establishing a business and sources of information

(i) List FOUR steps that should be taken in establishing a business. (4 marks)

Four steps that should be taken in establishing a business are:

- Generating and evaluating a suitable business idea, based on the skills of the owner and the needs of the market.
- Conducting a feasibility study and market research to find out whether the idea will work and whether enough customers exist.
- Preparing a business plan that sets out the goals, marketing plan, operations and financial plan of the business.
- Raising the necessary capital and registering the business with the relevant government authorities, then setting up premises and starting operations.

(ii) Identify the TWO main sources of information necessary for conducting research into the establishment of a business. (2 marks)

- Primary sources, which provide first-hand information collected by the owner through methods such as questionnaires, interviews and direct observation of customers and competitors.
- Secondary sources, which provide information that has already been collected and published by others, such as government statistics, trade journals, newspaper articles and reports from chambers of commerce.

2(b) Reasons for preparing a business plan

State FOUR reasons for preparing a business plan. (4 marks)

- To help the owner to think through the idea carefully and set out clear goals and strategies for the business before any money is spent.
- To support an application for a loan or for investment, since banks and investors will only provide funds when they see a properly written plan.
- To act as a guide for day-to-day operations, so the owner and staff know what they are working towards and how to achieve it.
- To allow the owner to compare actual performance against the plan and make adjustments where the business is falling short of its targets.

2(c) Short-term planning vs long-term planning

Outline TWO differences between 'short-term planning' and 'long-term planning'. (4 marks)

Length of the planning period

Short-term planning covers a period of up to one year and deals with day-to-day and weekly matters such as ordering stock, scheduling staff and meeting monthly sales targets. Long-term planning, in contrast,

covers a period of three to five years or more, and deals with broad goals such as opening new branches, entering new markets or developing new products.

Level of management and degree of detail

Short-term planning is normally done by lower and middle managers and is very detailed, with specific tasks, deadlines and figures for each operation. Long-term planning is done by top management, is more general in nature and focuses on the overall direction of the business rather than on the specific steps needed each day.

2(d) Benefit of collateral to borrower and lender

Explain ONE benefit of collateral to the borrower and ONE benefit to the lender, in the establishment of a business. (6 marks)

Benefit of collateral to the borrower

By offering collateral such as land, a building or a fixed deposit, the borrower is able to obtain a loan that he or she would not otherwise qualify for, and usually at a lower rate of interest because the loan is secured. This makes it possible to raise the larger sums of money needed to set up the business and to repay the loan over a longer period, which keeps the monthly instalments affordable.

Benefit of collateral to the lender

Collateral protects the lender from loss if the borrower fails to repay the loan as agreed. The lender has the legal right to take and sell the asset that was pledged in order to recover the money owed, including any interest. This security reduces the risk of lending to a new business and gives the lender confidence to release the funds in the first place.

Question 3

3(a) Factors of production and extractive production

(i) Define the term 'factors of production'. (2 marks)

Factors of production are the resources or inputs that are combined together to produce the goods and services that satisfy human wants. Without these resources, no production can take place.

(ii) List the FOUR factors of production. (4 marks)

- Land, which includes all the natural resources such as soil, minerals, forests, rivers and the sea.
- Labour, which is the human physical and mental effort used in producing goods and services.
- Capital, which is the man-made resources such as machinery, tools, buildings and money used to produce other goods.
- Entrepreneurship, which is the ability of a person to bring the other three factors together, take risks and run the business.

(iii) Define the term 'extractive production'. (2 marks)

Extractive production is the type of production that involves taking or extracting natural resources directly from the land, the sea or the air. Activities such as mining, fishing, quarrying, farming and lumbering are all examples of extractive production.

3(b) Industries from agricultural produce

Identify TWO industries that could be developed from agricultural produce in the Caribbean. (2 marks)

- The sugar and rum industry, which uses sugar cane to produce raw sugar, refined sugar, molasses and rum for local sale and for export.
- The food processing industry, which uses fruits, vegetables, cocoa and coffee to produce items such as juices, jams, sauces, chocolate and ground coffee.

3(c) Benefits of backward linkage industries

Outline TWO benefits of developing backward linkage industries. (4 marks)

Reduced dependence on imported raw materials

Backward linkage industries supply the raw materials and inputs that local producers would otherwise have to import. By producing items such as packaging, animal feed and basic chemicals at home, the country saves valuable foreign exchange and is less affected by changes in world prices or interruptions in shipping.

Creation of employment and additional income

Setting up backward linkage industries creates new jobs in farming, mining and small manufacturing, and provides incomes for owners, workers and suppliers in those industries. The additional spending by these workers also boosts other businesses in the country, which helps the whole economy to grow.

3(d) Factors affecting a country's supply of labour

Explain how TWO factors could affect a country's supply of labour. (6 marks)

Size and age structure of the population

The supply of labour depends first on how many people live in the country and on how many of them fall within the working age range, usually fifteen to sixty-five years. A country with a large and young population will have a bigger pool of workers available, while a country with many young children or many old people will have a smaller working-age group and therefore a smaller supply of labour.

Level of education, training and migration

The supply of labour is also affected by the education and training of the people, since well-trained workers are able to take up a wider range of jobs. If many skilled workers leave the country to work overseas, the supply of labour falls, especially in important fields such as nursing, teaching and information technology. On the other hand, if trained workers return home or migrate into the country, the supply of labour rises.

Question 4

Anne operates a wholesale ice-cream and yogurt business. She wants to introduce a new ice-cream flavour to the market.

4(a) Factors determining packaging and presentation

Identify FOUR factors which could determine the packaging and presentation of this new ice-cream flavour. (4 marks)

- The need to keep the ice-cream cold and protected, so the packaging must be insulated, sealed and able to stand up to freezing temperatures.
- The cost of the packaging materials, since Anne wants to keep her costs low without making the product look cheap to customers.
- The tastes and expectations of the target market, including the colours, pictures and style that will appeal to families, children or health-conscious customers.
- The legal requirements for food labelling, such as showing the ingredients, nutritional information, expiry date and place of manufacture on the package.

4(b) Methods to promote the sale of the new ice-cream flavour

Describe THREE methods which Anne could use to promote the sale of the new ice-cream flavour. (6 marks)

Advertising on traditional and social media

Anne can place colourful advertisements on television and radio and put up posters at supermarkets and along busy roads. She can also run a strong campaign on Facebook, Instagram and TikTok with short videos and pictures of the new flavour, so that customers across different age groups become aware of the product and are encouraged to try it.

Sales promotions and free samples

Anne can offer free tasting at supermarkets, schools and community events, and run special introductory offers such as buy one get one free or a discount on the first batch of cases bought by retailers. Letting customers taste the ice-cream and giving early buyers a price break helps to push fast initial sales and creates word of mouth.

Public relations and sponsorship

Anne can sponsor school sports days, beach festivals or community fairs, providing branded freezers and free samples of the new flavour at these events. The positive image created by these activities makes the public associate her brand with fun, health and community spirit, which builds long-term loyalty.

4(c) Techniques of selling

List FOUR techniques of selling which could be used to encourage consumers to purchase the new ice-cream flavour. (4 marks)

- Personal selling at supermarkets and events, where a salesperson talks directly to shoppers and lets them taste the product.
- Attractive in-store displays at the freezer section, with colourful posters, shelf talkers and end-of-aisle stands that catch the eye of shoppers.
- Price reductions, discount coupons and bundle offers, such as a lower price for buying two tubs together.
- Loyalty programmes such as a stamp card or a points scheme that gives customers a free tub after a number of purchases.

4(d) Terms of sale to encourage other businesses

Explain TWO terms of sale which Anne may use to encourage other businesses to purchase the new ice-cream flavour. (6 marks)

Trade discount

Anne can offer a trade discount, which is a reduction off the recommended retail price given to other businesses such as supermarkets, corner shops and ice-cream parlours that buy from her in bulk. The trade discount allows these retailers to make a profit when they sell to the final customer at the normal retail price, which encourages them to stock the new flavour and push it to their own customers.

Credit terms

Anne can offer credit terms such as thirty or sixty days to pay, which means that other businesses can take delivery of the new ice-cream now and pay for it after they have already sold most of it to their customers. By easing the cash flow pressure on the buyer, credit terms make it much easier for retailers to place a large first order of the new flavour.

Question 5

5(a) Indicators of standard of living and quality of life

(i) State TWO indicators of a country's standard of living. (2 marks)

- Gross domestic product per capita, which measures the average value of goods and services produced per person in the country each year.
- Average household income and ownership of goods such as cars, refrigerators, computers and decent housing.

(ii) State TWO indicators of a country's quality of life. (2 marks)

- Life expectancy at birth and infant mortality rates, which show how healthy and long-lived the population is.
- Access to clean water, good sanitation, education and a safe and clean environment, which together affect how well people actually live.

5(b) Define GDP and GNP

Define EACH of the following terms: (i) Gross domestic product (GDP); (ii) Gross national product (GNP). (4 marks)

(b)(i) Gross domestic product (GDP)

Gross domestic product is the total money value of all the final goods and services produced within the geographical borders of a country in a given year, no matter whether the producers are nationals or foreigners. It is one of the main measures used to compare the size of different economies.

(b)(ii) Gross national product (GNP)

Gross national product is the total money value of all the final goods and services produced in a given year by the nationals of a country, whether they are working inside the country or abroad. It is calculated by taking gross domestic product and adding net income earned by nationals from overseas.

5(c) Benefits from international trade

Outline THREE ways in which a country could benefit from international trade. (6 marks)

Access to a wider range of goods and services

International trade allows a country to import goods and services that it cannot produce itself, or cannot produce efficiently, such as oil, machinery, medicine and certain foods. This widens the choice available to consumers and businesses and raises the overall standard of living in the country.

Earning of foreign exchange and economic growth

By exporting goods and services, the country earns foreign exchange that it can use to pay for imports and to repay foreign debts. The increased demand for exports leads to higher production at home, more jobs and higher national income, which all support economic growth.

Specialisation and lower prices

International trade encourages each country to specialise in producing the goods it can make most efficiently and to trade them for goods produced more cheaply elsewhere. This specialisation makes better use of world resources and leads to lower prices for consumers in all the trading countries.

5(d) Negative effects on a developing country

Explain ONE negative effect of EACH of the following factors on the economy of a developing country. (i) Migration; (ii) Unemployment. (6 marks)

(d)(i) Migration

When skilled workers such as doctors, nurses, engineers and teachers leave a developing country to work overseas, the country loses the human capital it has trained at great cost, a problem often called the brain drain. Hospitals, schools and businesses are left short-staffed, services to the public suffer and the country has to spend more money to train replacement workers, all of which slows down economic development.

(d)(ii) Unemployment

When many people in a developing country are unemployed, the country loses the output that those workers could have produced, so total national income and gross domestic product are lower than they

could be. Unemployed people also pay no income tax and depend on welfare or on family for support, which reduces government revenue and at the same time raises government spending. High unemployment is also linked to poverty, crime and social unrest, all of which discourage investment and further weaken the economy.